22STCV03151 22STCV03151

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 22STCV03151 Hearing Date: June 24, 2026 Dept: 11

.. . .Preliminary Approval of

Class Action Settlement

Department SSC-11

MacDonald

v. Gary Winnick, et al.

Case

No.: 22STCV03151

Hearing: June

24, 2026 c/f December 15, 2025

TENTATIVE

RULING

Continue for

counsel to address the checklist items.

BACKGROUND

This is a securities class action on behalf of a group of investors in a streaming media start-up company known as “Qello.” Qello was a technology start-up that raised more than $11 million from private investors through a series of promissory note offerings. Winnick became involved with Qello in 2016 and was installed as its Chairman in February 2017.

Plaintiff is one of approximately 25 class members who invested in Qello on the basis of a written “Solicitation Package.” He filed this suit in January 2022 against Gary Winnick (now deceased) alleging that the Solicitation Package was misleading in several material respects, asserting causes of action against Winnick under California Corporations Code sections 25504 (control person liability) and 25504.1 (aiding and abetting Qello’s violations of the Cal. Corp. Code), as well as for aiding and abetting common law fraud, all based on Winnick’s alleged controlling role in preparing and disseminating the Solicitation Package.

Mr. Winnick died in November 2023. Plaintiff continues to prosecute these claims against Karen Winnick, in her dual-capacities as the executrix of the Estate of Gary Winnick and trustee of the GKW Trust, as successors in interest to the now-deceased Defendant Gary Winnick.

On February 7, 2025, the Court signed an Order certifying a class of plaintiffs.

Counsel represents that Plaintiff conducted extensive legal and factual analysis of the claims at issue. Multiple contested motions were briefed and argued, more than 600,000 documents were reviewed, and several depositions were taken.

On March 14, 2025, the parties participated in an all-day, in-person mediation session with Shirish Gupta of JAMS. In connection with that Mediation, Defendant presented evidence that both his probate estate and the “GKW Trust,” which together include all of Defendant Winnick’s assets that would be available to satisfy a judgment in this case, are insolvent, as further attested to in the sworn Declaration of Karen Winnick. Following a mediator’s proposal, the parties agreed to settle this Action in exchange for a cash payment of $200,000.

To date, Class Counsel, which is prosecuting this case on a contingent-fee basis, has incurred well in excess of $200,000 in out-of-pocket expenses simply litigating the case to this point. That amount would double or more in the event the matter proceeds to summary judgment and trial, without any prospect for recovery. Counsel represents that Plaintiff and Class Counsel would be throwing good money after bad, draining their resources—along with those of the Court—in a futile effort that would not provide any recovery for the Class. In light of these challenges, Plaintiff made the decision to accept the settlement and cease further prosecution of this matter.

There is no expected distribution to Plaintiff or the Class members; however, counsel represents that terminating this litigation will provide Class members with finality by allowing them to “close the books” on their Qello investments (most of which were first made in 2015), which will permit them to write off the losses they incurred for tax and other purposes. This tax benefit to the class is expected to be approximately one-third of their lost investment.

A copy of the resulting fully executed long form Settlement Agreement was filed with the Court on June 27, 20256 attached to the Declaration of Daniel Centner (“Centner Decl.”) as Exhibit A.

On December 15, 2025, the Court issued a checklist of items for counsel to address and continued preliminary approval. In response, on April 1, 2026, Counsel filed a supplemental briefing (“Supp. Brief”) and a fully executed Amended Settlement Agreement attached to the Declaration of Daniel Centner (“Centner Supp. Decl.”) as Exhibit A.

Now before the Court is Plaintiff’s motion for preliminary approval of the settlement.

SETTLEMENT

CLASS DEFINITION

· "Class" or "Settlement

Class" means all persons who purchased and/or renewed a promissory note

offered by Qello Holdings, LLC and/or any affiliate thereof pursuant to

solicitation materials dated January 27, 2017. Excluded from the Class are any

investors who previously released claims for payment under their notes; any

immediate family members of Judge David S. Cunningham III; any current or

former directors or officers of Qello Holdings, LLC and its parents,

subsidiaries, or affiliates; and any entity in which Qello Holdings, LLC has a

controlling interest. (Settlement Agreement, ¶I.b.)

· On

February 7, 2025, the Superior Court signed an Order certifying the class in

the Action, which is defined herein as the "Class" or

"Settlement Class." (¶II.1)

TERMS OF

SETTLEMENT AGREEMENT

The essential terms are as follows:

·

The Settlement Amount ("SA") is $200,000, non-reversionary. (¶I.r)

.

The Settlement Fund shall be paid out only as approved by the Superior Court. The Parties understand that the Class Representative and Class Counsel will be seeking reimbursement of expenses incurred to date, which exceed the gross amount of the Settlement funds. Class Counsel does not intend to seek an award of attorneys' fees in light of the fact that the Settlement Amount exceeds Class Counsel's actual expenses incurred in connection with the prosecution of the Action. In

the event the Court-approved reimbursement of expenses is in an amount that is less than the Settlement Amount, Class Counsel then reserves the right to seek an award of reasonable fees. (¶¶V.6, VII.28)

.

Each Party shall bear its own costs and attorneys' fees in connection with implementing this Agreement, including in connection with obtaining the necessary court approvals. (¶VII.31)

.

Funding of Settlement: Within fifteen (15) business days after the Court enters the Final Approval Order, Defendant shall deposit or cause to be deposited the Settlement Amount of $200,000 into Peiffer Wolf Carr Kane Conway & Wise, APLC's Trust Account. No disbursements from the

Settlement Amount shall occur until all of the conditions set forth in Section

VI of this Agreement have been satisfied as well as the conditions in the

Bankruptcy Trustee's settlement brought by Plaintiff Gerald H. Davis, in his

capacity as the Trustee appointed by the United States Bankruptcy Court,

Southern District of California for the Adversary Proceeding, Case No. 22

90049, which is associated with the related Chapter 7 Bankruptcy Cases ((a)

uCast, LLC, Case No. 20-04501-MM-l 1; (b) Q Media Services, LLC, Case No.

20-04502-MMl 1; and (c) QMS Holdings, Case No. 20-04503-MMl 1) (the related

"Bankruptcy Settlement"). (¶V.5)

.

There is no claim form requirement. (Notice, pg. 1.)

· Response

Deadline:

o

Defendant

shall have the option to withdraw from this Settlement based on receiving

notice that one or more of the Class Members has opted out of the Settlement or

out of the Class. (¶VI.C.22)

.

The Settlement is

contingent upon the approval of the Superior Court and bankruptcy court approval of the Bankruptcy Settlement. The Parties shall have the right to terminate the Settlement and the Agreement by providing written notice of their election to do so to all other Parties to the Agreement within thirty (30) calendar days of (i) the Superior Court's decision to deny the Motion for Preliminary Approval without giving the Parties the right or leave to re-apply for preliminary approval; (ii) the Superior Court's refusal to approve this Agreement in whole and in all material respects, although in this instance the Parties agree to discuss in good faith any revisions intended to cure the Superior Court's refusal; (iii) the Superior Court's failure to enter both the Final Approval Order and the Final Judgment in whole and in all material respects, without giving the Parties the right or leave to resubmit; (iv) the date upon which the Final Approval Order or Final Judgment is modified or reversed in any material respect; (v) the failure of any or all of the events described in Paragraph 20 and/or the failure to achieve an Effective Date. (¶VI.B.21)

.

The Final Judgment shall

dismiss, with prejudice, all claims against Defendant. (¶V.I.B.19)

o

The Settlement Agreement and paperwork

derivative thereof should not suggest that the end result of court approval

will be dismissal of the Action with prejudice or entry of a Final Judgment and

Order dismissing with prejudice all claims. See California Rules of Court, rule

3.769(h). Revise ¶VI.B. 19 so that claims are not

with prejudice.

.

The settlement

administrator will be ______

Participating class members and

the named Plaintiff will release certain claims against Defendants. (See further discussion below)

ANALYSIS

OF SETTLEMENT AGREEMENT

A.

Does a presumption of

fairness exist?

1.

Was the settlement reached through arm's-length

bargaining? Yes. On March 14, 2025,

the parties participated in an all-day, in-person mediation session with

Shirish Gupta of JAMS. (Centner Decl., ¶8).

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently? Yes. Counsel represents that the case was litigated for over three years, including multiple contested motions, review of more than 600,000 documents, and several depositions. (Supp. Brief, 1:13-15.) Further, counsel represents that during Mediation the Defendants, for the first time, provided evidence that Winnick's probate estate and the "GKW Trust"—which together now include all of Defendant's Winnick's assets that would be available to Plaintiff and the Class in the event of a successful outcome at trial—are insolvent, with all assets already pledged to a secured lender with rights superior to those of Plaintiff or the Class. (See Exhibit A to Centner Decl.).

3.

Is counsel experienced in similar litigation? Yes. Class Counsel is experienced in complex litigation, including complex class action cases. (Id. at ¶2, see also firm resume submitted with Motion for Class Certification.)

4.

What percentage of the class has objected? This cannot be determined until the fairness hearing. (See

Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter

Group 2014) ¶ 14:139.18, ["Should the court receive objections to the proposed

settlement, it will consider and either sustain or overrule them at the fairness hearing."].)

CONCLUSION: The settlement is entitled to a presumption

of fairness.

B. Is the settlement fair, adequate, and reasonable?

1.

Strength of Plaintiff's case. "The

most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in

settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Plaintiff believes

his claims have merit, and assuming full success at trial, the maximum recovery

would include the full principal amount of those notes (approximately $11

million), plus interest and attorneys' fees as allowed under the California

Corporations Code. (Supp. Brief, 9:3-5.)

2. Risk, expense, complexity and likely

duration of further litigation.

Given the nature of the class claims, the case is likely to be expensive

and lengthy to try. Procedural hurdles

(e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See Weinstat v. Dentsply Intern., Inc. (2010) 180 Cal.App.4th 1213, 1226 [“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”].)

4. Amount offered in settlement. Plaintiff’s counsel obtained a Gross Settlement Amount of $200,000, which is approximately 1.8% of the exposure.

As explained above, during mediation, the Defendants (for the first time) provided evidence that Winnick’s probate estate and the “GKW Trust”—which together now include all of Defendant’s Winnick’s assets that would be available to Plaintiff and the Class in the event of a successful outcome at trial—are insolvent, with all assets already pledged to a secured lender with rights superior to those of Plaintiff or the Class. (See Declaration of Karen Winnick (Exhibit A to Centner Decl.)).

Counsel represents that as such; there is no longer any uncertainty surrounding the ability to collect on a judgment. It is now clear that a judgment would not be collectible, such that further prosecution of this matter would not result in benefit to Plaintiff or the Class Members and would only serve to drain the resources of the Court and the parties while Class members would have their investments remain open for years while Plaintiff pursued an empty judgment. (Centner Decl., ¶9.)

To date, Class

Counsel, which is prosecuting this case on a contingent-fee basis, has incurred well in excess of $200,000 in out-of-pocket expenses simply litigating the case to this point. That amount would double or more in the event the matter proceeds to summary judgment and trial, without any prospect for recovery. Counsel represents that Plaintiff and Class Counsel would be throwing good money after bad, draining their resources—along with those of the Court—in a futile effort that would not provide any recovery for the Class. In light of these challenges, Plaintiff made the decision to accept the settlement and cease further prosecution of this matter. (Supp. Brief, 2:1-8.)

There is no

expected distribution to Plaintiff or the Class members; however, counsel represents that terminating this litigation will provide Class members with finality by allowing them to “close the books” on their Qello investments (most of which were first made in 2015), which will permit them to write off the losses they incurred for tax and other purposes. This tax benefit to the class is expected to be approximately one-third of their lost investment. ((Supp. Brief, 2:8-14.) Thus, in light of Defendant's insolvency, the $200,000 is within the ball-park of reasonableness.

5. Extent of discovery completed and stage of the proceedings.

As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the final fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

C. Scope of the release

Upon the Effective Date, the Parties and the Class Member shall be deemed to have, and by operation of the Final Judgment shall have, irrevocably and unconditionally, fully, finally, and forever waived, released, relinquished, discharged, and dismissed with prejudice each and every one of the Released Claims against each and every one of the Released Parties and shall forever and permanently be barred and enjoined from filing, commencing, instituting, prosecuting, continuing, asserting, intervening in, maintaining, or enforcing any action or other proceeding in any forum (including, but not limited to, any foreign, federal, state or local court of law or equity, arbitration tribunal, or administrative forum), asserting any of the Released Claims against any and all of the Released Parties. The foregoing release applies to Class Members whether or not such Class Member shares in the settlement funds or receives actual notice of the Settlement. Claims to enforce the terms of this Agreement are not released. (¶VI.9)

The Final Approval Order and the Final Judgment shall fully, finally, and completely extinguish the liability Defendant as to any and all

Released Claims. The Final Judgment and the releases herein shall not take effect unless the Effective Date is achieved in accordance with Paragraph 20, which shall not occur unless the Settlement Amount has been deposited into Peiffer Wolf Carr Kane Conway & Wise, APLC's Trust Account. (¶VI.10)

The releases in this Article VI include an express, informed, knowing and voluntary waiver and relinquishment of any and all Released Claims to the fullest extent permitted by law, including claims that are unknown and unsuspected. The Defendant, the Class Representative and the members of the Class acknowledge that they may have sustained damages, losses, costs or expenses that are presently unknown and unsuspected and that such damages, losses, costs or expenses as may have been sustained may give rise to additional damages, losses, costs or expenses in the future. The Defendant, the Class Representative, and the Settlement Class Members further acknowledge that they have negotiated this Agreement taking into account presently unsuspected and unknown claims, counterclaims, causes of action, damages, losses, costs and expenses, and they voluntarily and with full knowledge of its significance, expressly waive and relinquish any and all rights they may have under any state or federal statute, rule or common law principle, in law or equity, relating to limitations on general releases. Specifically, the Defendant, the Class

Representative, and the Settlement Class Members expressly waive any rights it may have under California Civil Code § 1542 (or any other similar law in any jurisdiction). (¶VI.11)

"Released Claims" means, to the fullest extent that the law permits their release, all past, present, and future claims of any nature whatsoever in any way relating to the Action, including without limitation all claims, suits, actions, allegations, damages (including, without limitation, compensatory, punitive, exemplary, rescissory, direct, consequential or special damages, and restitution and disgorgement), liabilities, causes of action, complaints, lawsuits, responsibilities, demands, controversies, arguments, principal, interest, sums of money, contracts, agreements, judgments, matters, issues, promises, rights, debts, penalties, costs, expenses, fees, injunctive relief, attorney's fees, expert or consulting fees, prejudgment interest, indemnities, duties, liabilities, losses, and obligations of any kind, known or unknown, foreseen or unforeseen, whether or not concealed or hidden, disclosed or undisclosed, suspected or unsuspected, discoverable or undiscoverable, asserted or unasserted, existing or contingent, direct or indirect, anticipated or unanticipated, matured or unmatured, liquidated or unliquidated, accrued or unaccrued, asserted or that could have been asserted by, or on behalf of, for the benefit of, or in the name of the Class members, whether representative, class, or individual, whether legal, contractual, rescissory, statutory, or equitable in nature, whether arising under federal, state, common or foreign law, that now exist or have ever existed from the beginning of time until the Effective Date of the Settlement against the other Party that are based upon, arise out of, or are related in any way to (1) the purchase and/or renewals of promissory notes offered by Qello Holdings, LLC and/or any affiliate thereof pursuant to solicitation materials dated January 27, 2017; (2) any action, inaction, or omission related in any way to the purchase and/or renewals of promissory notes offered by Qello Holdings, LLC and/or any affiliate thereof pursuant to solicitation materials dated January 27, 2017; (3) the allegations in the Action, and/or the settlement or resolution of the Action, other than claims to enforce the Settlement; and/or 4) otherwise relate to Qello Holdings, LLC and the actions or inactions of Gary Winnick, or any entity through which Gary Winnick acted or participated on behalf of or in connection with Qello Holdings, LLC. (¶I.o)

"Unknown

Claims" means any and all Released Claims which any of the Parties or Class Members do not know or suspect to exist in his, her, or its favor at the time of the release of the Released Parties, which, if known by him, her, or it, might have affected his, her, or its settlement with and release of the

Released Parties, or might have affected his, her, or its decision(s) with respect to the Settlement, including, but not limited to, whether or not to object to this Settlement or seek exclusion from the Settlement Class. "Unknown Claims" expressly includes any rights the parties may have under California Civil Code § 1542 (or any other similar law in any jurisdiction). (¶I.t)

"Released Parties" mean the Parties, the Class, and/or any or all of their related parties, including, without limitation, any and all of their current, past, present, or future parents, subsidiaries, affiliates, predecessors, successors, assigns, divisions, funds, joint ventures, and general or limited partnerships, and each of their respective current or former officers, directors, trustees, partners, members, controlling shareholders, principals, agents, managing agents, employees, attorneys, consultants, and advisors in their capacities as such, as well as each of the Defendant's immediate family members, heirs, executors, personal or legal representatives, estates, beneficiaries, predecessors, successors, legatees, devisees, administrators, spouses, receivers and trustees, settlors, auditors, accountants, and assigns, as well as any trust of which the Defendant is the settlor or which is for the benefit of the Defendant and/or member(s) of his family. Released Parties does not include any Person who would otherwise be a

Class Member but who validly and timely requests exclusion from the Class.

(¶I.p)

The Effective Date of Settlement shall be the date when all the following shall have occurred: (a) (b) (c) (d) the Superior Court has entered the Preliminary Approval Order; the Superior Court has entered the Final Approval Order; the Superior Court has entered the Final Judgment; the Settlement Amount has been deposited into Peiffer Wolf Carr Kane Conway & Wise, APLC's Trust Account; and (e) the appeals process for the Final Approval Order and Final Judgment is exhausted. The appeals process for the Final Approval Order and Final Judgment will be deemed exhausted within the meaning of this paragraph when the Final Approval Order and Final Judgment has been entered on the docket in the Action, and all of the following shall have occurred: (1) the time within which to appeal the Final Approval Order and Final Judgment has expired and no appeal has been filed or noticed; (2) if such an appeal has been filed or noticed, it has been finally resolved and has resulted in an affirmation of the Final Approval Order and Final Judgment and implementation of the Settlement in accordance with all material terms set forth herein; and (3) if an appeal from the Final Approval Order or Final Judgment has been filed or noticed and, following the resolution of all appellate proceedings, the Superior Court has entered a further order or orders approving the Settlement in accordance with all material terms set forth in this Agreement, and no further appeal has been taken from such order(s) and the time within which to file or notice any further appeal has expired. (¶VI.C.20)

.

The releases in ¶¶I.o, I.t, and VI.11 are overbroad. Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See Amaro v. Anaheim Arena Mgmt. (2021) 69 Cal. App. 5th 521, 537 and FN. 5; Uribe v. Crown Building Maintenance Co. 70 Cal. App. 5th 986, 1005.) Class Members should not release known and unknown claims, claims which “otherwise relate to Qello Holdings, LLC and the actions or inactions of Gary Winnick, or any entity through which Gary Winnick acted or participated on behalf of or in connection with Qello Holdings, LLC,” “any nature whatsoever in any way relating to the Action,” or any other claims which are not directly alleged in the Operative Complaint.

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The releases in ¶¶I.o, I.t, and VI.11 are overbroad. The Claims released should be limited to the Class Period and not “all past, present, and future claims of any nature whatsoever in any way relating to the Action."

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The Settlement Agreement and paperwork derivative thereof should not suggest that the end result of court approval will be dismissal of the Action with prejudice or entry of a Final Judgment and Order dismissing with prejudice all claims. See California Rules of Court, rule 3.769(h). Revise ¶VI.9 so that claims are not with prejudice.

.

A Civil Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (Israel-Curley v. California Fair Plan (2005) 126 Cal.App.4th 123, 129; Salehi v. Surfside III Condominium Owners' Assn. (2011) 200 Cal.App.4th 1146, 1159–1161.) Revise ¶¶VI.11 and I.t accordingly.

D. May conditional class certification be granted?

The Court granted Class Certification on February 7, 2025. The Court previously certified a Class consisting of: All persons who purchased and/or renewed a promissory note offered by Qello Holdings, LLC and/or any affiliate thereof pursuant to solicitation materials dated January 27, 2017. Excluded from the Class are any investors who previously released claims for payment under their notes; any immediate family members of Judge David S. Cunningham III; any current or former directors or officers of Qello Holdings, LLC and its parents, subsidiaries, or affiliates; and any entity in which Qello Holdings, LLC has a controlling interest. (MPA at 8:15-9:3; See also Declaration of Plaintiff James MacDonalrd ISO Class Cert, passim.)

E. Is the notice proper?

a. Content of class notice. A copy of the proposed notice is attached to the Declaration of Daniel Centner as Exhibit

B. Its

content appears to be acceptable. It

includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; attorney fees and costs; enhancement awards; the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing. [The Notices still reflects

Judge Cunningham III, who is no longer in Dept. 11. The Notice states that objections and requests for exclusion are to be mailed to Class Counsel. The

Notice contains a signature line from the Court. Why is this proper?]

b.

Method of class notice.

.

No information as to the Notice Process

was provided in the Settlement Agreement. Counsel need to address the

following:

o

Indicate the administrator for the

settlement and why the bid for administration is fair.

o

Provide the qualifications and

experience of the Administrator, including evidence that the settlement

administrator has procedures in place to protect the security of class data and

adequate insurance in the event of a data breach or defalcation of funds.

o

Indicate how/when the administrator

will receive the class list.

o

Indicate whether the list will be updated by the administrator prior to the initial mailing by use of National Change of

Address Registry.

o

Provide the deadline for the initial

issuance of notice to class members.

o

Indicate how notices returned to the

administrator as undeliverable will be handled.

o

Explain how re-mailed notices, if any,

will be handled. Will class members who receive re-mailed notices be given an

extended deadline to respond (i.e., opt-out, object, and dispute workweeks)?

o

Explain how notice of any change of the date

or location of the final approval hearing will be given.

o

Indicate whether there will be a settlement

website. If so, provide the URL.

o

If publication notice will be given indicate the timing, locations, and manner by which publication notice will be disseminated.

o

Explain how notice of final judgment will be given to the class. (Cal. Rules of Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

c.

Cost of class notice. As indicated above, settlement administration costs are estimated to be $______. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

F.

Attorney fees and costs

California Rule of Court, rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney

fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, “the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable.” (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The Parties understand that the Class Representative and Class Counsel will be seeking reimbursement of expenses incurred to date, which exceed the gross amount of the Settlement funds. Class Counsel does not intend to seek an award of attorneys' fees in light of the fact that the Settlement Amount exceeds Class Counsel's actual expenses incurred in connection with the prosecution of the Action. In the event the Court-approved reimbursement of expenses is in an amount that is less than the Settlement Amount, Class Counsel then reserves the right to seek an award of reasonable fees. (¶¶V.6, VII.28)

The question of whether Class Counsel is entitled to any attorney fees and costs will be addressed at the final fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must

indicate what multiplier (if applicable) is being sought as to each

counsel.

Class Counsel should also be prepared to

justify the costs sought by detailing how they were incurred.

G. Incentive Award to Class Representative

N/A
, , ,

LOS

ANGELES SUPERIOR COURT, COMPLEX CIVIL DEPARTMENT

CHECKLIST

FOR

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

Department:

SSC-11

RE:

MacDonald v. Gary Winnick, et al.

Case

No.: 22STCV03151

In reviewing your motion

for preliminary approval of class action settlement, the Court orders further

briefing on the items checked below.

The additional briefing

shall be due by ____________________________________, 2026. Note: if briefing is not filed by said date

the hearing will be placed off calendar. Your hearing date set for _____________, is

continued to the first available date of

__________ at _____ in Department 11.

This checklist

provides direction on what information and argument the court requires to grant

a motion for preliminary approval of a class action settlement. All parties are urged to carefully review the

checklist and fully comply with each item that applies to the case in order

that the motion may be promptly ruled upon. The content of the motion should follow the

same order as this checklist, as that is how the judge and research attorney

review the motion.

You should also consider using the form wage and hour

settlement agreements now available on the court's website at https://www.lacourt.org/forms/all – "Civil Forms" section.

With input and unanimous consensus from an Ad Hoc Wage and Hour

Committee (chaired by Judge Hogue and Judge Cunningham and comprised of 8

plaintiff's attorneys and 8 defense attorneys), the court has posted: (1) a form class action settlement agreement, (2) a form class

action/PAGA settlement agreement, (3) and

a form PAGA

settlement agreement.

Using these forms should cut down on attorney negotiation time and

reduce the lag time between a successful mediation and execution of a long form

agreement. Filing a motion that is based

on a form agreement and includes a redlined copy identifying modifications will

also expedite the court's review process and help reduce the current backlog on

hearings. These forms are encouraged but

entirely optional.

I.

MOVING PAPERS (Motion and Declarations)

All facts

submitted for the court to consider must be provided in the form of a

declaration or other admissible evidence. The court will not consider facts

stated only in the motion.

A. Introductory Information

¿ Summary

of the litigation, including identity of the parties, brief procedural history, claims asserted, and general factual

basis for the claims.

B. Dunk/Kullar Analysis

¿ Summary

of the case, including the legal and factual basis for each claim. (Kullar

v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 133 (Kullar);

Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186

Cal.App.4th 399, 409.)

¿ Summary

of the investigation and discovery conducted, including the specific documents reviewed prior to agreeing

to settle the case. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802, as modified

Sept. 30, 1996 (Dunk).) If counsel's analysis was informed by a data sample, show that the sample is

statistically reliable.

¿ Summary of settlement

negotiations, including when the settlement was reached, and

whether the

parties were assisted by a mediator. (Dunk, supra, 48 Cal.App.4th at p. 1802.)

¿ A

summary of the risks, expenses, complexity, and duration of further litigation

if the

settlement is not approved.

¿ A summary of the risks of achieving and maintaining class action status.

¿ Specific information sufficient for the court to make an independent determination that the consideration being received for the release of class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation. (Kullar, supra, 168 Cal.App.4th at 129.) This discussion should specify the maximum realistic recovery of each claim asserted in the operative complaint, defenses asserted by Defendant, and any other relevant factors justifying the amount offered in settlement. If the settlement is predicated on a payment plan or is predicated on defendant's financial situation, admissible evidence of Defendant's financial situation should be provided, including appropriate financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like.

¿ If approval of the settlement of class claims is requested together with approval of non-class claims (such as claims under the Labor Code's Private Attorney

General Act (PAGA)) discuss why the amount allocated to the non-class claims is fair to those affected. See Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56, 77 (Moniz).

C. Class Certification

¿ Numerosity:

Total number of members in the settlement class and number of members in each sub-class (if applicable).

¿ Ascertainability:

The manner by which members of the class will be identified and when. (Noel v. Thrifty Payless (2019) 7 Cal.5th 955.)

¿ Community of Interest: Discuss specific facts showing that the proposed class representatives have claims or defenses typical of the class and can adequately represent the class. (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

¿

Adequacy:

Class Counsel: A summary of Class Counsels’ experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See Dunk, supra, 48

Cal.App.4th at p. 1802.)

Class Representative(s): Provide evidence that each

proposed class representative has agreed to act as same and understands his or

her responsibilities. (See Soderstedt

v. CBIZ Southern California, LLC (2011) 197 Cal.App.4th 133, 155-156; Jones

v. Farmers Ins. Exchange (2013) 221 Cal.App.4th 986, 998-999).

D. Claim

Requirement (if applicable)

¿ If

class members are required to submit a claim to receive compensation, explain

why a claim form is necessary and either 1) provide an estimate of the

anticipated claims rate or 2) provide an explanation why a claims rate cannot

be provided.

¿ Provide

a detailed explanation why a “claims made” settlement is appropriate in this

case.

¿ Indicate

what actions class counsel will take to encourage claim submission.

¿ Explain

why the claims process is not so burdensome that relief would be inaccessible

to class members (if applicable).

E. Miscellaneous

¿ If

appropriate, explain why the settlement includes terms that are outside the

scope of the operative complaint. (Trotsky v. Los Angeles Fed. Savings &

Loan Assn. (1975) 48 Cal.App.3d 134, 148.) If approval of settlement of a

PAGA claim is requested provide a copy of Plaintiff's notice letter to the

LWDA.

¿ If

notice will be given in English only, explain why this is sufficient.

¿ A

statement of any affirmative obligations to be undertaken by the class member

or class counsel and the reason for such obligations.

¿ Provide

information regarding any fee splitting agreement and whether the client has

given written approval. (Mark v. Spencer (2008) 166 Cal.App.4th 219;

Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769.)

¿ Any

agreement that has injunctive relief against a class representative generally is not appropriate in a class action case. Provide the authority and factual

reasons why this case is an exception. See Moniz, supra, 72 Cal.App.5th

at 84. ("[T]he preclusive effect of a prior judgment is determined by the court

in which it is asserted, not the court that rendered it." (Fireside Bank

Cases (2010) 187 Cal.App.4th 1120, 1131 [115 Cal. Rptr. 3d 80].))

¿ Explanation

as to why any class representative enhancement is reasonable, including what

the class representative did beyond the expected services of any class

representative. (Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010)

186 Cal.App.4th 399, 412; Radcliffe v. Experian Information Solutions Inc.

(9th Cir. 2013) 715 F.3d 1157, 1165.) In PAGA settlements explanation should be

provided as to why an incentive award is appropriate.

SETTLEMENT

AGREEMENT

The settlement

agreement should address the following:

A. The

Basics

¿ Class

definition. If a PAGA representative action is settled with a proposed Class

Settlement consider whether there should be separate definitions for Class Members and Aggrieved Employees.

¿ Class

and Release Period: If the class and release periods extend beyond the preliminary approval explain why this is appropriate.

¿ The Settlement

provides that it is contingent upon the approval of the Superior Court and bankruptcy court approval of the Bankruptcy Settlement. The Parties shall have the right to terminate the Settlement and the Agreement by providing written notice of their election to do so to all other Parties to the Agreement within thirty (30) calendar days of (i) the Superior Court's decision to deny the Motion for Preliminary Approval without giving the Parties the right or leave to re-apply for preliminary approval; (ii) the Superior Court's refusal to approve this Agreement in whole and in all material respects, although in this instance the Parties agree to discuss in good faith any revisions intended to cure the Superior Court's refusal; (iii) the Superior Court's failure to enter both the Final Approval Order and the Final Judgment in whole and in all material respects, without giving the Parties the right or leave to resubmit; (iv) the date upon which the Final Approval Order or Final Judgment is modified or reversed in any material respect; (v) the failure of any or all of the events described in Paragraph 20 and/or the failure to achieve an Effective Date. (¶VI.B.21) What is the status of the Bankruptcy Settlement? Why is it proper for this Court to proceed with settlement approval hearings prior to any resolution in the Bankruptcy Court?

B. Release

of Claims

¿ Scope:

The scope of any release given by class members must be defined with precision and clarity. Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See Amaro v. Anaheim Arena Mgmt. (2021) 69 Cal. App. 5th 521, 537 and FN. 5; Uribe v. Crown Building Maintenance Co. 70 Cal. App. 5th 986, 1005.)

.

The releases in ¶¶I.o, I.t, and VI.11 are overbroad.

Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See Amaro v. Anaheim Arena Mgmt. (2021) 69 Cal. App. 5th 521, 537 and FN. 5; Uribe v. Crown Building Maintenance Co. 70 Cal. App. 5th 986, 1005.) Class Members should not release known and unknown claims, claims which “otherwise relate to Qello Holdings, LLC and the actions or inactions of Gary Winnick, or any entity through which Gary

Winnick acted or participated on behalf of or in connection with Qello Holdings, LLC," "any nature whatsoever in any way relating to the Action," or any other claims which are not directly alleged in the Operative Complaint.

.

The releases in ¶¶I.o, I.t, and VI.11 are overbroad.

The Claims released should be limited to the Class Period and not "all past, present, and future claims of any nature whatsoever in any way relating to the Action."

¿ Class

cases which include a PAGA claim should have a separate release for the PAGA claim tied to the facts alleged in the notice given to the LWDA. Id.

¿ If PAGA and Class

Settlement: The Release and Notice should provide an explanation that released claims include all PAGA claims that could have been premised on the facts alleged in the Plaintiff's LWDA Letter and aggrieved employees will release PAGA claims even if class members request exclusion from the class. See Robinson v. Southern Counties Oil Co. (2020) 53 Cal.App.5th 476.

¿ A Civil

Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (Israel-Curley v. California Fair Plan (2005) 126 Cal.App.4th 123, 129; Salehi v. Surfside III Condominium Owners’ Assn. (2011) 200 Cal.App.4th 1146, 1159–1161.) Revise ¶¶VI.11 and I.t accordingly.

¿ Release

Effective Date: Indicate the point in time at which the release will be deemed effective as to the absent class members. If the release will be effective before settlement funds are paid, explain why this is in the best interest of the class.

¿ Class

Data: If there are confidentiality provisions, explain why they are in the best interest of the Class and whether they will impede Class Counsel’s ability to discharge fiduciary duties.

C. Monetary Terms of Settlement

¿ Settlement

Amount: Indicate the amount of the gross settlement, how and when the settlement will be paid, and information regarding

payment plan, if any. If a class claim is being settled with a PAGA claim the amounts allocated should be separated and paid only to the aggrieved employees.

¿

Deductions from the settlement fund: Indicate the amounts to be deducted from the gross settlement for attorneys' fees and costs, plaintiff incentive awards, administrative costs, PAGA payment and allocation of award to LWDA and the parties, and any other existing deductions.

.

The settlement provides that in the event the Court-approved reimbursement of expenses is in an amount that is less than the Settlement Amount, Class Counsel then reserves the right to seek an award of reasonable fees. (¶¶V.6, VII.28) Why is it proper for Counsel to receive fees instead of a payout to class members?

.

Why is the Settlement fair to the Class when only counsel are recovering? Why shouldn't a portion of the SA go to Class Members? Especially in light of the overbroad releases herein?

¿ If there are subclasses, explain why the monetary distribution is fair to each subclass. Ensure there is a class representative who fits the definition of each subclass.

¿

Information about how attorney fees will be calculated. The percentage method, with or without a lodestar cross-check, may be used in common fund cases. (Laffitte

v. Robert Half Internat., Inc. (2016) 1 Cal.5th 480, 503.) In other cases,

counsel should fully brief how the fees are calculated.

¿ If

wages are involved, explain how Defendant’s share of taxes will be paid.

¿

Whether, and under what circumstances, amounts may revert to Defendant, and a

justification for such reversion (if applicable). (Cundiff

v. Verizon California, Inc. (2008) 167 Cal.App.4th 718, 728–729.)

¿ Payment

Formula: Amount and manner of distribution of the compensation to each class

member, including the estimated amount each class member will receive and the

timeline on which payments will be issued.

¿ Tax

allocation of settlement payments.

¿ Nature

of injunctive relief (if any), and valuation of such relief.

D. Notice Administration

The following

issues regarding notice administration should be addressed in the settlement agreement. A copy

of the proposed notice must be attached to the settlement agreement as an

exhibit.

¿

Indicate the administrator for the settlement and what the bid for

administration is why that bid is fair. Typically Counsel cannot act as

administrator.

¿ Provide

the qualifications and experience of the Administrator, including evidence that

the settlement administrator has procedures in place to protect the security of

class data and adequate insurance in the event of a data breach or defalcation

of funds.

¿

Indicate how/when the administrator will receive the class list.

¿

Indicate whether the list will be updated by the administrator prior to the

initial mailing by use of National Change of Address Registry.

¿ Provide

the deadline for the initial issuance of notice to class members.

¿ Ensure

the content of the notice complies with California Rules of Court, rule 3.766(d). In wage and hour cases the notice should indicate the specific amount the class member will receive and how that amount was calculated. A separate breakdown for PAGA payments should be provided. The terms of the release(s) should be reflected in the Notice.

¿ Ensure

the notice accurately reflects the Court’s current social distancing procedures for attendance at hearings and review of court files. (Counsel should check the Court website for most current information.)

.

The Notices still reflects Judge Cunningham III, who is no longer in Dept. 11.

.

The Notice

states that objections and requests for exclusion are to be mailed to Class Counsel.

.

The Notice contains a signature line from the Court.

Why is this proper?

¿ Indicate

how and when payments will be processed.

¿ Indicate

how notices returned to the administrator as undeliverable will be handled.

¿Explain

how re-mailed notices, if any, will be handled. Will class members who receive

re-mailed notices be given an extended deadline to respond (i.e., opt-out,

object, and dispute workweeks)?

¿ Explain

how notice of any change of the date or location of the final approval hearing will

be given.

¿

Indicate whether there will be a settlement website. If so, provide the URL.

¿ If

publication notice will be given indicate the timing, locations, and manner by

which publication notice will be disseminated.

¿

Explain how notice of final judgment will be given to the class. (Cal. Rules of

Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

E. Responses to Notice

¿

Description of the procedures for submitting written objections, requests for

exclusion, claim forms (if applicable) and disputes to estimated payments.

¿

Indicate the deadline to submit objections and requests for exclusion. Confirm

the deadline is reasonable and that class members who receive re-mailed notices

will be given an extension.

¿ The

objection procedure should be the same as the opt-out procedure, with the only

requirement being that objections be mailed to the settlement administrator and

not filed with the court.

¿ Do not

include language indicating that class members may only be heard at final

approval if they have complied with all objection procedures or that they must

use specific language to request exclusion, or, if a specific procedure is

sought, explain why it is necessary. In

general, the court will hear from any class member who attends the final

approval hearing and asks to speak regarding his or her objection.

F. Cy Pres Distribution

¿ Indicate

the length of time from issuance for which settlement checks will remain valid.

¿ Identify

the fund to which uncashed checks will be directed and detail the steps that

will be taken to ensure compliance with Code of Civil Procedure section 384.

The Court’s Omnibus Trailer Bill of 2018 replaced the language of the prior

statutory distribution scheme under Code of Civil Procedure, section 384 with a

requirement that the Court re-open judgments following the final distribution

of funds to include the cy pres in the judgment and to include the unclaimed

amount, plus an unspecified amount of interest. Such information should be

actively contemplated/provided for within the current terms of the settlement.

¿ Explain

why the cy pres distribution fills the purposes of the lawsuit or is otherwise

appropriate. (State of California v. Levi Strauss & Co. (1986) 41

Cal.3d 460, 472; In re Microsoft I-V Cases (2006) 135 Cal.App.4th 706,

722; Nachshin v. AOL, Inc. (9th Cir. 2011) 663 F.3d 1034, 1038–1041; Dennis

v. Kellogg Co. (9th Cir. 2012) 697 F.3d 858, 865; Code Civ. Proc., § 384.)

¿ Provide

declarations by all parties and counsel disclosing any interest or involvement

(or lack thereof) in the governance or work of the cy pres recipient.

G. MISCELLANEOUS

¿ Assure the Settlement Agreement and Notice are consistent and that the Settlement Agreement (including revised versions) has

been signed by all parties and counsel. Carefully proofread both.

¿ The

Settlement Agreement and paperwork derivative thereof should not suggest that

the end result of court approval will be dismissal of the Action with prejudice

or entry of a Final Judgment and Order dismissing with prejudice all claims.

See

California Rules of Court, rule 3.769(h).

.

Revise ¶VI.9 so that claims are not

with prejudice.

.

Revise ¶VI.B.19 so that claims are

not with prejudice.

III. EXHIBITS TO

THE MOTION

¿

Provide proof of submission of the proposed settlement agreement to the LWDA.

(Lab. Code, § 2699, subd. (l)(2).)

¿ Include

a proposed Judgment, which should not include a dismissal or any findings not contained in the Final Approval Order. (Cal. Rules of Court, rule 3.769(h).)

¿ All

documents electronically filed must comply with the Rules of Court, including 2.256(b)(3) which specifies: "The document must be text searchable when technologically feasible without impairment of the document's image." The same search functionality is required by Los Angeles Superior Court Local Rule 3.4(f)(1). Also, all electronic documents and exhibits should be bookmarked, as set forth in Los Angeles Superior Court Local Rule 3.4(f)(3), available on the Court website.

If the Settlement Agreement is modified pursuant to this checklist, please submit both a red-lined copy showing changes made as well as a final version signed by all parties and counsel. Do not submit an addendum in lieu of a full amended settlement agreement including all operative settlement terms.

Modify notice to match any alterations to the Settlement Agreement.

Date: ___________, 2026

____

JUDICIAL

OFFICER